To illustrate the problem, say you have an account of US$150,000 and you get a buy signal in live cattle. This contract has a size of 40,000 lbs and the ATR at the time of the trade signal was US$0.017. Using the risk factor 0.2%, you would then end up with the following formula for your position size:

$$\text{Trade Size} = \left(150{,}000^{*}0.002\right) / \left(0.017^{*}40{,}000\right)$$

The formula would arrive at a trade size of less than half a contract and then you obviously have a problem. To trade diversified futures with too small an asset base would force you to increase the risk factor and if your asset base is significantly smaller than what is required, you will leave the field of professional trading and enter the field of gambling. Trend trading with an asset base of less than US$1 million is, in my opinion, a bit on the reckless side and even with that amount it can be a bit of a stretch and you may have to make some compromises. I am, of course, aware of stories of people who started trading these strategies on margin accounts of US$10,000 and made millions, and if you feel extremely lucky, you could try it. If 1,000 readers of this book do so, my bet is that about 998 of them wipe out their money in a matter of weeks or months, while two of them make huge returns in a short time before they either end up wiping out as well or are smart enough to quit or reduce risk once they have won their first jackpot. But this book is not about gambling strategies and I strongly recommend against anyone entering this field with less than US$1 million to back them up.

Trading mini contracts can help a little if you are low on base assets but the availability is not great and the liquidity in some can be low. In the equity world there is an abundance of mini contracts but for some sectors they are hard to come by. In particular, in the very important rates sector there is a clear lack of proper mini coverage. The agricultural sector has some minis but they are limited and often illiquid with spreads that are too expensive.

Even if you have US$1 million, you sometimes get trading signals of 1.5 contracts or 0.7 contracts, and so on, and you need to decide in advance what to do with such signals. The prudent course of action is of course to round down, but you also want to avoid ending up with too few positions. With a smaller asset base in the range US$1–5 million, you may also need to be more restrictive with your investment universe. As we have seen,